

26TRCV00579 26TRCV00579

County: los-angeles

Division: Civil Law and Motion

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Case Number: 26TRCV00579 Hearing Date: July 9, 2026 Dept: P

Superior Court
of California

County of Los
Angeles

Southwest
District

Torrance Dept. P

JAIRO
TABARES,

Plaintiff

Case No.:

26TRCV00579

vs.

[Tentative]
RULING RE:

MOTION
TO COMPEL ARBITRATION AND STAY PROCEEDINGS

TESLA

MOTORS, INC.; and DOES 1-10, inclusive,

Defendants.

Hearing

Date: July 9, 2026

Department

P, Judge David K. Reinert

Motion

to Compel Arbitration and Stay Proceedings

Moving

Party: Defendant

Tesla, Inc., erroneously sued as Tesla Motors, Inc.

Responding Party: None

RULING

The court

considered the moving papers. Tesla's

Motion to Compel Arbitration is GRANTED. The court STAYS the proceedings pending conclusion of the arbitration process.

PROCEDURAL BACKGROUND

On February 17, 2026, Plaintiff Jairo Tabares ("Plaintiff") filed a complaint against Defendants Tesla Motors, Inc. ("Tesla") and DOES 1 through 10, inclusive, alleging five causes of action for: (1) Violation of Civil Code Section 1793.2(d); (2) Violation of Civil Code Section 1793.2(b); (3) Violation of Civil Code Section 1793.2(a)(3); (4) Breach of Express Written Warranty; and (5) Breach of the Implied Warranty of Merchantability.

On March 26, 2026, Tesla filed the instant motion.

FACTUAL BACKGROUND

Plaintiff

alleges that on June 20, 2024, Plaintiff purchased a 2024 Tesla Model Y (the "Subject Vehicle") and received an express written warranty from Tesla in connection with the purchase. (Complaint, ¶¶ 5, 9.) Plaintiff alleges that the Subject Vehicle contained or developed defects that substantially impair the use, safety, and value of the Subject Vehicle. (Complaint, ¶ 10.) Plaintiff alleges that Tesla has failed to service or repair the Subject Vehicle within a reasonable number of attempts. (Complaint, ¶ 14.)

LEGAL STANDARD

Parties may be compelled to arbitrate a dispute upon the court finding that: (1) there was a valid agreement to arbitrate between the parties; and (2) said agreement covers the controversy or controversies in the parties' dispute. (Code Civ. Proc. Section 1281.2.) California law favors enforcement of valid arbitration agreements. (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 97.) A party petitioning to compel arbitration has the burden of establishing the existence of a valid agreement to arbitrate and the party opposing the petition has the burden of proving, by a preponderance of the evidence, any fact necessary to its defense. (*Banner Entertainment, Inc. v. Superior Court* (1998) 62 Cal.App.4th 348, 356-357.)

The Federal Arbitration Act ("FAA") applies to any contract evidencing a transaction involving interstate commerce which contains an arbitration clause. (*Wolls v. Superior Court* (2005) 127 Cal.App.4th 197, 211.) Section 2 of the FAA provides that arbitration provisions shall be enforced, save upon grounds as exist at law or in equity for the revocation of any contract. (*Ibid.*) A state court may refuse to enforce an arbitration clause on the basis of generally applicable contract defenses, such as fraud, duress, or unconscionability. (*Ibid.*) A state court, however, may not defeat an arbitration clause by applying state laws applicable only to arbitration provisions. (*Ibid.*)

For the FAA to apply, a contract must involve interstate commerce. (*Ibid.*) When it applies, the FAA preempts any state law rule that stands as an obstacle to the accomplishment of the FAA's objectives. (*Carbajal v. CWPSC, Inc.* (2016) 245 Cal.App.4th 227, 238.) A party asserting FAA preemption bears the burden to present evidence establishing a contract with the arbitration provision affects interstate commerce, and the failure to do so renders the FAA inapplicable. (*Ibid.*) Evidence must be presented, in the form of

declarations or other evidence, that establishes that the contract affects interstate commerce. (Ibid.) “[S]ince arbitration is a matter of contract, the FAA also applies if it is so stated in the agreement.” (Davis v. Shiekh Shoes, LLC (2022) 84 Cal.App.5th 956, 963.)

“On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: (a) the right to compel arbitration has been waived by the petitioner; or (b) grounds exist for the revocation of the agreement.” (Code Civ. Proc. Section 1281.2(a-b).) Thus, in assessing a motion to compel arbitration, the moving party “bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, and a party opposing the [motion] bears the burden of proving by a preponderance of the evidence any fact necessary to its defense.” (Giuliano v. Inland Empire Personnel, Inc. (2007) 149 Cal.App.4th 1276, 1284, citation omitted.)

“If a court of competent jurisdiction . . . has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.” (Code Civ. Proc. Section 1281.4.)

DISCUSSION

Moving Party’s Argument

Tesla argues that Plaintiff consented to the terms of an online Motor Vehicle Order Agreement (“MVOA”) when they ordered the Subject Vehicle and subsequently executed a Retail Installment Sale Contract (“RISC”) prior to the delivery of the Subject Vehicle, both of which contain binding arbitration provisions. Tesla argues that Plaintiff’s claims fall within the scope of both arbitration provisions, because Plaintiff’s claims arise directly out of the relationship between Plaintiff as purchaser and Tesla as the manufacturer, retailer, warrantor, and repair facility. Tesla argues that binding arbitration should be compelled under the MVOA but can in the alternative be compelled

under the RISC.

Request for Judicial Notice

Tesla requests that the court take judicial notice of the complaint filed by Plaintiff. The court may take notice of its own records pursuant to Evidence Code Section 452(d).

Accordingly, Tesla's request for judicial notice is GRANTED.

Merits of the Motion

A.

Existence of a Valid Arbitration Agreement

The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code of Civ. Proc. Section 1281.2.) This is usually done by presenting a copy of the signed, written agreement to the court. "A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference." (Cal. Rules of Court, rule 3.1330.)

Motor Vehicle Order Agreement ("MVOA")

To meet its burden of establishing the existence of a valid written arbitration agreement between the parties, Tesla offers the Declaration of Raymond Kim ("Kim"), a manager of business resolution for Tesla. (Kim Decl., ¶ 2.) Kim declares that when Plaintiff ordered the Subject Vehicle online, Plaintiff electronically accepted the terms and conditions of the MVOA, which included an arbitration provision. (Kim Decl., ¶¶ 3, 6.) Kim further declares that Plaintiff placed an order for the Subject Vehicle by clicking a button that read "Place Order" on Tesla's website, and Plaintiff would not have been able to place the order without clicking this button or authorizing someone to do so on Plaintiff's behalf. (Kim Decl., ¶ 4.) Kim declares that immediately below the "Place Order" button on Tesla's website "would have appeared text in bold font advising Plaintiff that by clicking 'Place Order' [Plaintiff] would be

agreeing to the terms and conditions of the MVOA.” (Kim Decl., ¶ 4.) Kim declares that the MVOA was displayed in bold font and as a hyperlink, and if Plaintiff clicked on the hyperlink, a new window would have appeared, showing the terms of the agreement. (Kim Decl., ¶ 4.) Kim declares that the third page of the MVOA contains an arbitration provision, and that while the MVOA allows a customer to opt out of the arbitration agreement by sending a letter to Tesla expressing the customer’s intent to do so, Plaintiff did not opt out. (Kim Decl., ¶¶ 6, 7.)

A “clickwrap agreement” is one in which an internet user accepts a website’s terms of use by clicking an ‘I agree’ or ‘I accept’ button, with a link to the agreement readily available— is generally enforceable...” (Herzog v. Superior Court (2024), 101 Cal.App.5th 1280, 1286.) However, “in order to establish mutual assent for the valid formation of an internet contract, a provider must first establish the contractual terms were presented to the consumer in a manner that made it apparent the consumer was assenting to those very terms when...clicking on a button.” (Id. at 1294.)

Here, the MVOA constitutes a “clickwrap” agreement because customers are required to place an order for one of Tesla’s vehicles by “clicking a button,” signifying the customer’s agreement with the terms and conditions of the MVOA. (Kim Decl., ¶ 4.) Below the button appears the title of the MVOA in bold along with a hyperlink to allow the customer to read the terms of the agreement before pressing the “Place Order” button. (Kim Decl., ¶ 4.) Further, the title of the “Agreement to Arbitrate” found within the MVOA appears in bold and instructs buyers to “carefully read this provision.” (Kim Decl., ¶ 6; Exh. 1, p. 3.) The MVOA’s arbitration provision additionally provides customers with the option to opt out and states that if the customer does not opt out, then the MVOA’s arbitration provision overrides any different arbitration agreement between the parties. (Kim Decl., ¶ 6; Exh. 1, p. 3.) Kim declares that Plaintiff did not opt out of the MVOA’s arbitration agreement. (Kim Decl., ¶ 7.)

With respect to scope, the MVOA’s arbitration provision states that the parties agree to arbitrate “any dispute arising out of or relating to any aspect of” the parties’ relationship.” (Kim Decl., ¶ 6; Exh. 1, p. 3.) The court finds that the MVOA’s arbitration provision covers the present dispute between the parties, because Plaintiff’s causes of action under the Song-Beverly Act arise out of the relationship between Plaintiff as the purchaser and Tesla as the manufacturer and warrantor.

Retail Installment Sale Contract ("RISC")

Next, Kim declares that Plaintiff additionally signed the RISC before receiving delivery of the Subject Vehicle. (Kim Decl., ¶ 8.) Kim declares that the RISC is "largely pre-printed," requiring Plaintiff to fill in identifying information, the financial details of the purchase, the Subject Vehicle's identifying information, and Plaintiff's signature. (Kim Decl., ¶ 8.) Kim declares that the pre-printed portion of the RISC includes an arbitration provision. (Kim Decl., ¶ 8.) Kim further declares that vehicle purchasers, including Plaintiff, "have the opportunity and are expected by Tesla to read the entire RISC." (Kim Decl., ¶ 9.)

The RISC's arbitration provision appeared as a part of a written contract, which Tesla properly attached to its motion in compliance with Code of Civil Procedure sections 1281.2 and 1281.4. (Kim Decl., Exh. 2, p. 5.) With respect to the scope of the RISC's arbitration agreement, the RISC includes a provision stating that any dispute between the parties arising out of Plaintiff's "credit application, purchase or condition of [the Subject Vehicle], [the RISC] or any resulting transaction or relationship" will be resolved by binding arbitration. (Kim Decl., ¶ 12; Exh. 2, p. 5.) Kim declares that Plaintiff signed the RISC before taking delivery of the Subject Vehicle. (Kim Decl., ¶ 8.)

Here, the court finds that the RISC's arbitration provision encompasses the instant dispute between the parties because Plaintiff's causes of action arise from Plaintiff's purchase or condition of the Subject Vehicle, which Plaintiff alleges was delivered with defects and violations of warranty.

The court finds that with respect to the MVOA's and RISC's arbitration provisions, Tesla has met its burden of proving that an arbitration agreement exists between the parties. Next, the burden shifts to Plaintiff to establish any facts necessary to show that the parties' arbitration agreement is unenforceable.

B.

Grounds for Compelling Arbitration

The court has found that Tesla has met its burden of proving that an arbitration agreement exists between the parties, and the language of both the

MVOA's and the RISC's arbitration provisions cover the instant dispute. Given that Tesla's motion is unopposed, Plaintiff has not established by a preponderance of the evidence any fact necessary to Plaintiff's defense.

Accordingly, Tesla's Motion to Compel Arbitration is GRANTED, pursuant to the terms of the MVOA.

C.

Stay of Proceedings

Code of Civil Procedure Section 1281.4 provides that if the court has ordered the arbitration of a controversy, it "shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies."

Therefore, pursuant to Code of Civil Procedure Section 1281.4, the court STAYS this action pending conclusion of the arbitration proceedings.

CONCLUSION

Based on the foregoing, Tesla's Motion to Compel Arbitration is GRANTED. The court STAYS the proceedings pending conclusion of the arbitration process.

Moving party is ordered to give notice of ruling.